

Downward Breakouts

Reversal or continuation	Short-term bearish consolidation
Performance rank	1 (best) out of 36
Breakeven failure rate	15%
Average drop	19%
Volume trend	Downward
Pullbacks	67%
Percentage meeting price target	55%

How is a diamond bottom like asking a girl out on a date? When dealing with either, it's all in the approach. Diamond bottoms have price entering the pattern from the top (heading down); diamond tops have price entering from the bottom, trending up. What more is there to know? Plenty, and the Results Snapshot just scratches the surface.

Based on what we see in the Results Snapshot, diamonds favor downward breakouts. They show the best performance of any chart pattern, but upward breakouts are closer to the worst performance. Breakeven failure rates (a measure of how often price fails to move more than 5% after the breakout) are close to one another, with downward breakouts suffering a bit more than upward breakouts.

Pull out a loupe and let's take a closer look at this chart pattern.

Tour

[Figure 23.1](#) shows an example of what a diamond bottom looks like. Notice that price trends downward into the pattern, the diamond appears, and then price reverses in this example. Price dropping into the pattern from the top means it is a diamond bottom and not a top. I ignore any overshoot and undershoot in the week or two before the pattern begins. Overshoot and undershoot are like having a pullback or throwback precede the start of the pattern. See the Glossary for an example of overshoot or undershoot.

The diamond bottom begins with price tracing higher highs and lower lows, then the process reverses. The price range narrows until the breakout occurs.